IOWN

The Morning Brief

MARCH 25, 2026

Bifurcation

Energy +2%, software imploding. COIN -9.76% on CLARITY Act. 15-point peace plan in Tehran's hands.

S&P 500	BRENT CRUDE	BITCOIN	COIN	FEAR & GREED
6,556 ↓0.37%	~$101 ↑3.8%	$69,165 ↓1.8%	$181.04 ↓9.76%	14 · Extreme Fear

SECTION 01

Markets

SOFTWARE COLLAPSES WHILE SEMIS RECOVER — THE CLEAREST SECTOR SIGNAL OF THE YEAR

Tuesday's session produced the sharpest intra-tech divergence of 2026. The S&P 500 fell 0.37% to 6,556, the Dow shed 0.18% to 46,124, and the Nasdaq dropped 0.84%. Index-level moves buried what was actually a dramatic rotation: energy gained 2.03% and materials 1.89%, while communication services fell 1.40% and tech slid 0.58%—but within tech, the software subset experienced a near-collapse. The IGV iShares software ETF fell more than 3% Tuesday and is now down 23% in 2026. Salesforce dropped 6.23%, ServiceNow fell more than 4%, Oracle slid nearly 5%, and Microsoft declined 2.68%. The catalyst: reports of new Amazon AI tools encroaching on the enterprise software stack amplified long-running fears that AI disruption is compressing software moats faster than current multiples reflect. IOWN holds zero pure software exposure. We own the infrastructure powering AI, not the application layer being displaced by it.

SEMIS DIVERGE HARD FROM SOFTWARE

While software imploded, IOWN's semiconductor sleeve recovered sharply: ADI +3.09% ($321.83), KEYS +3.33% ($298.58), LRCX +2.37% ($238.84), TSM +1.42% ($343.25), AMD +1.33% ($205.37). The catalyst was Broadcom's disclosure that Taiwan Semiconductor capacity is essentially maxed out—a structurally bullish signal for equipment demand (LRCX), advanced node pricing (TSM), and the broader physical AI infrastructure buildout. Capacity constraints at TSMC historically precede significant capital equipment orders. LRCX, which builds the deposition equipment that enables each new chip generation, is the direct beneficiary. The physical world matters thesis is showing up in the data: when software names melt down on AI disruption fears, the companies building the foundational silicon layer are bid.

TREASURY AUCTION WEAKNESS — 10-YEAR AT 4.42%

The 10-year Treasury yield rose 8 basis points to 4.42% on Tuesday following what BMO described as a "weak" auction—below-average

non-dealer bidding, suggesting foreign appetite for US duration is thinning. The 2-year yield jumped 11 basis points to 3.944%, the largest single-session move in weeks. TLT fell 0.43% and has not caught a sustained bid since the war began. March flash manufacturing PMI surprised to the upside at 52.4 (expected 51.3), defying war-era pessimism on the factory floor. But the PMI narrative is splitting: manufacturing is holding; travel, tourism, and service-sector subcomponents are showing clear demand damage from elevated energy costs and financial market uncertainty. Hard data is holding. Soft data is cracking. This divergence rarely persists.

S&P 500	**6,556 · ↓0.37% · Wed pre-market +0.8% on peace plan**
BRENT CRUDE	**~$101 · ↑3.8% Tue · Falling below $100 Wed AM on 15-pt plan**
10Y TREASURY	**4.42% · Weak auction · 2-yr at 3.944%**
IGV SOFTWARE ETF	**↓3% Tue · ↓23% YTD · Salesforce –6.23%**
MFG PMI FLASH	**52.4 · Beat 51.3 est · Services components warn**
FEAR & GREED	**14 · Extreme Fear**

DVY +0.91%, IWS +0.75%, IUSG –0.83%. Value is outperforming growth for the second consecutive session. The dividend strategy's composition—energy, defense, industrials, utilities—is exactly what the current regime rewards. Wednesday pre-market: S&P +0.8%, Brent falling below $100 on the 15-point peace plan. Think Like an Owner—discipline through the chop.

SECTION 02

Geopolitics

DAY 25 — THE 15-POINT PLAN IS IN TEHRAN'S HANDS. SO ARE IRGC'S COUNTER-DEMANDS.

The United States delivered a formal 15-point ceasefire framework to Iran via Pakistani intermediaries on Wednesday morning. An Egyptian official involved in mediation described it as a "comprehensive deal" covering Hormuz reopening, missile program restrictions, and curbs on Iran's support for proxy forces. Iran received the document. Almost simultaneously, the Islamic Revolutionary Guard Corps circulated its own counter-demands: closure of all US military bases in the Gulf, reparations for damage sustained in the war, the right to collect fees from all Hormuz transit, an end to Israeli strikes on Hezbollah, and full sanctions relief. The gap between the two documents defines the width of the conflict itself. Trump claimed Iran had given the US "a very big present worth a tremendous amount of money" tied to energy flows through Hormuz—likely referencing the Thai tanker transit and Iran's selective-passage arrangement. Iran told Indian media they are "absolutely" charging fees for Hormuz passage, effectively monetizing the blockade.

KUWAIT AIRPORT STRUCK — US ESCALATES MILITARY DEPLOYMENT

Iranian forces struck Kuwait International Airport on Wednesday, sparking a large fire visible across the city. US Central Command announced deployment of 1,000 troops from the 82nd Airborne Division, with an additional 5,000 Marines and thousands of sailors heading to the region. CENTCOM has now struck more than 9,000 Iranian targets and flown over 9,000 combat flights since February 28. Netanyahu confirmed Israel will continue striking Iran and Lebanon until the war's objectives are realized. The diplomatic track and the military track are running simultaneously in opposite directions: more troops deploying while more mediators convene. Pakistan hosted engagement between its intelligence chief and US envoys Witkoff and Kushner. A Vance-attended meeting in Pakistan is being discussed but not confirmed. China's Wang Yi told Araghchi to "seize every window for peace." Iran's Foreign Ministry called US diplomacy untrustworthy and said there are no direct negotiations in place.

US PEACE PLAN	**15-point framework · Delivered via Pakistan · Iran received**
IRGC COUNTER-DEMANDS	**US base closures · Reparations · Hormuz tolls · Sanctions relief**
KUWAIT AIRPORT	**Struck Wednesday · Large fire · Black smoke visible citywide**
US DEPLOYMENT	**82nd Airborne 1K troops · 5K Marines · Thousands of sailors**
5-DAY PAUSE EXPIRES	**Saturday March 29 · Power plant strike threat returns**

SECTION 03

On Our Radar

1. Wednesday opens with hope again—the pattern is now predictable. S&P futures +0.8%, Brent below $100 on the 15-point plan. But Tuesday followed the same script: Monday's relief-rally gains faded by mid-session as oil climbed back and Iran denied negotiations. The compression window between hope and reversal is shortening. If the session can hold above 6,556 into the close, the market has found a floor. If it gives back the pre-market gains by 11 AM, the pattern is re-establishing itself. Watch the first hour.

2. COIN -9.76%—CLARITY Act targets the stablecoin revenue model. The proposed legislation bans passive yield on stablecoin balances, threatening the USDC revenue-sharing arrangement between Circle and Coinbase that accounts for roughly 20% of Coinbase's total revenue. HOOD -4.70%, MARA -7.41%, IBIT -1.92%. The digital asset sleeve absorbed a double-hit: regulatory headwinds severing the yield model on one side, crypto-war correlation fading on the other. Today's House Financial Services tokenization hearing at 10 AM is the venue to watch for signals on whether Congress is tightening or moderating the bill's language before April markup. Armstrong's silence on the draft text is notable—he stopped the Senate markup with a single post in January. Research Reveals Opportunities—the structural crypto story is intact; the yield-extraction model may need to rebuild around activity-based rewards.

3. Broadcom's TSM capacity warning is the bullish semi signal this week. When TSMC is capacity-constrained, it eventually orders more equipment. LRCX is the direct beneficiary of any capex expansion from the world's most advanced fab. KEYS +3.33%, ADI +3.09%, LRCX +2.37%—the semi sleeve posted its best session in weeks on Tuesday while software collapsed. This is the physical AI thesis expressed in real returns. The divergence between IGV (-23% YTD) and LRCX's recovery is not noise—it reflects which layer of the AI stack the market is beginning to respect. **Simplicity Over Complexity**—own the picks and shovels, not the miners getting disrupted.

4. The 10-year at 4.42% after a weak auction is the structural risk building quietly. Iran's financial warfare threat from last week—warning that entities financing the US military budget through Treasury purchases would be considered targets—may be contributing to marginally reduced foreign demand. The 2-year yield jumped 11 basis points in a single session on a "weak" auction. If 10-year yields push to 4.5%+ while the Fed holds and oil remains elevated, rate-sensitive names (NEE, BKH, ATO) face renewed headwinds. Monitor whether TLT can catch a bid on the peace plan news or continues its losing streak.

5. IRGC's demands are functional rejection of the 15-point plan. Closing US military bases in the Gulf and collecting Hormuz tolls are non-starters for Washington. If Iran's formal response is a counter-proposal built around IRGC demands rather than a good-faith negotiating entry, the five-day pause expires Saturday without a framework—and power plant strike threat returns. The IRGC has consolidated control in Tehran since Mojtaba Khamenei's ascent and has historically escalated when given room to maneuver diplomatically. Saturday, March 29 is the next binary event. CVX, OKE, GD, and LMT remain the portfolio's insurance. Avoid Erosion.

6. Manufacturing PMI 52.4 holds the line—watch services on Wednesday. The flash manufacturing reading surprised above consensus, suggesting the war's economic damage has not yet reached the factory floor. But PMI subcomponents show demand destruction in travel, transport, and consumer-facing services sectors citing energy price shock and financial uncertainty. The gap between hard data (manufacturing holding) and soft data (services weakening) is the next fault line. If US flash services PMI shows contraction below 50, stagflation pricing intensifies and the Fed's constrained posture becomes the dominant narrative for the remainder of Q1. Research Reveals Opportunities—the manufacturing resilience may signal an earlier stabilization point than the equity selloff implies.

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